

Standard Chartered Bank Kenya Limited

The Board of Directors of Standard Chartered Bank Kenya Limited is pleased to announce the un-audited results of the Bank and the Group for the nine month period ended 30 September 2018



STATEMENT OF FINANCIAL POSITION						BANK					GROUP					OTHER DISCLOSURES					BANK				
	30.09.2018 KShs. 000 Un-audited	30.06.2018 KShs. 000 Un-audited	31.03.2018 KShs. 000 Un-audited	31.12.2017 KShs. 000 Audited	30.09.2017 KShs. 000 Un-audited	30.09.2018 KShs. 000 Un-audited	30.06.2018 KShs. 000 Un-audited	31.03.2018 KShs. 000 Un-audited	31.12.2017 KShs. 000 Audited	30.09.2017 KShs. 000 Un-audited		30.09.2018 KShs. 000 Un-audited	30.06.2018 KShs. 000 Un-audited	31.03.2018 KShs. 000 Un-audited	31.12.2017 KShs. 000 Audited	30.09.2017 KShs. 000 Un-audited		30.09.2018 KShs. 000 Un-audited	30.06.2018 KShs. 000 Un-audited	31.03.2018 KShs. 000 Un-audited	31.12.2017 KShs. 000 Audited	30.09.2017 KShs. 000 Un-audited			
ASSETS											1) NON-PERFORMING LOANS AND ADVANCES							2) INSIDER LOANS AND ADVANCES							
Cash (both local and foreign)	2,537,331	5,768,666	4,287,631	3,723,226	2,937,093	2,937,331	5,768,666	4,287,631	3,723,226	2,937,093	(a) Gross non-performing loans and advances	13,521,947	18,547,487	17,793,483	17,620,531	16,984,456		(a) Directors, shareholders and associates	45,493	48,276	52,427	50,203	45,655		
Deposits due from Central Bank of Kenya	12,663,554	13,306,767	12,671,049	9,618,366	12,927,047	12,927,534	13,306,767	12,671,049	9,618,366	12,927,047	(b) Less: Interest in suspense	7,837,524	6,320,457	6,431,622	6,302,823	5,858,742		(b) Employees	6,132,391	6,119,871	6,076,512	6,329,178	6,292,121		
Kenya Government securities and other securities held for dealing purposes	6,281,521	4,798,330	8,566,271	7,046,674	11,279,780	6,331,827	4,798,330	8,566,271	7,046,674	11,279,780	(c) Total non-performing loans and advances (a-b)	12,164,558	11,727,030	11,361,861	11,317,708	11,135,714		(c) Total insider loans and advances	6,646,884	6,227,147	6,128,930	6,379,381	6,247,772		
Financial assets at fair value through profit and loss	133,517	989,781	734,197	597,360	637,685	833,817	989,781	734,197	597,360	637,685	(d) Less: Loan loss provisions	7,110,120	7,098,093	6,945,961	6,808,880	6,764,438		(d) Net NPLs Exposure (e-f)	659,799	48,463	246,603	392,081	242,888		
Investment securities:											(e) Net non-performing loans and advances (c-d)	5,054,438	4,628,937	4,415,897	4,508,828	4,371,271									
a) Held to Maturity:											(f) Realizable value of securities	4,377,773	4,550,471	4,169,291	4,116,747	4,128,390									
i. Kenya Government securities	-	-	-	-	-	-	-	-	-	-															
ii. Other securities	-	-	-	-	-	-	-	-	-	-															
b) Available for sale:																									
i. Kenya Government securities	103,042,656	115,103,062	111,281,205	102,837,472	112,887,319	107,130,844	116,136,514	112,074,428	103,486,084	113,546,838															
ii. Other securities	16,400	8,530	9,037	8,999	530,012	13,857	8,530	9,037	8,999	530,012															
Deposits and balances due from local banking institutions	6,707,417	7,539,064	4,253,789	5,230,390	2,116,860	6,707,417	7,539,064	4,253,789	5,230,390	2,116,860															
Deposits and balances due from banking institutions abroad	97,929	60,220	64,604	95,474	101,489	97,929	60,220	64,604	95,474	101,489															
Trade receivable	-	-	355,762	1,350,060	735,317	-	-	367,748	1,389,789	751,301															
Loans and advances to customers (net)	111,004,251	111,748,653	113,847,613	126,294,470	114,241,248	111,004,251	111,748,653	113,847,613	126,294,470	114,241,248															
Deposits due from banking institutions in the group	20,000,653	28,265,433	28,585,062	16,090,088	41,211,835	20,468,040	28,265,433	28,585,062	16,121,687	41,209,341															
Investments in associates	-	-	-	-	-	-	-	-	-	-															
Investments in subsidiary companies	141,243	141,243	141,243	141,243	141,243	-	-	-	-	-															
Investments in joint ventures	-	-	-	-	-	-	-	-	-	-															
Investment properties	-	-	-	-	-	-	-	-	-	-															
Property and equipment	3,121,170	3,192,369	3,269,642	3,351,240	2,968,476	3,121,170	3,192,369	3,269,642	3,351,240	2,968,476															
Prepaid lease rentals	239,343	239,094	239,825	240,557	241,289	239,343	239,094	239,825	240,557	241,289															
Intangible assets	1,025,756	2,013,159	2,113,523	2,220,861	2,177,493	1,025,756	2,013,159	2,113,523	2,220,861	2,177,493															
Deferred tax asset	1,010,784	1,349,559	1,591,760	875,856	1,577,846	1,010,784	1,349,559	1,591,760	875,856	1,577,846															
Retirement benefit asset	-	-	-	-	-	-	-	-	-	-															
Other assets	13,226,640	2,524,554	3,293,338	5,402,602	3,229,537	21,781,197	2,524,554	3,293,338	5,418,717	3,229,537															
TOTAL ASSETS	207,935,184	295,049,630	293,306,671	285,124,538	309,951,569	208,574,370	295,049,630	293,306,671	285,124,538	309,951,569															
LIABILITIES											3) OFF-BALANCE SHEET ITEMS							4) CAPITAL STRENGTH							
Deposits due to Central Bank of Kenya	3,601,000	-	-	-	6,740,309	3,601,000	-	-	-	6,740,309	(a) Letters of credit, guarantees and acceptances	44,799,633	45,107,608	43,822,152	41,117,237	41,111,555		(a) Core capital	35,913,241	34,721,296	34,099,922	35,628,197	35,980,777		
Customer deposits	218,930,184	230,845,306	231,966,234	213,349,290	238,496,394	219,453,091	230,845,306	231,966,234	213,349,290	238,496,394	(b) Forward, swaps and options	70,320,099	141,287,367	125,850,794	88,018,730	102,620,420		(b) Minimum statutory capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000		
Deposits and balances due to local banking institutions	3,565,553	1,033,401	463,714	11,139,733	1,111,192	3,565,553	1,033,401	463,714	11,139,733	1,111,192	(c) Other contingent liabilities	128,426,121	186,486,995	169,672,946	129,135,967	143,731,975		(c) Excess / (deficiency) (a-b)	33,721,296	33,099,922	34,628,197	34,880,777	34,980,777		
Deposits and balances due to foreign banking institutions	407,147	164,306	1,267,568	1,561,623	2,581,582	407,147	164,306	1,267,568	1,561,623	2,581,582	(d) Total capital (a+b)	129,145,730	147,395,003	145,473,746	137,154,707	146,412,722		(d) Supplementary capital	5,255,836	6,262,260	6,614,023	6,314,413	6,314,413		
Other money market deposits	-	-	-	-	-	-	-	-	-	-	(e) Total risk weighted assets	200,137,355	200,137,355	228,675,858	228,112,212	220,855,916		(e) Core capital / total deposit liabilities	15,054	15,054	15,054	15,054	15,054		
Borrowed funds	-	-	-	-	-	-	-	-	-	-	(f) Minimum statutory ratio	3.03%	3.03%	3.03%	3.03%	3.03%		(f) Excess / (deficiency) (g-h)	3.03%	3.03%	3.03%	3.03%	3.03%		
Deposits due from banking institutions in the group	9,948,631	9,713,692	9,467,658	8,977,301	10,154,078	9,948,631	9,713,692	9,467,658	8,977,301	10,154,078	(g) Core capital / total risk weighted assets	16.09%	15.78%	15.04%	15.62%	17.00%		(g) Core capital / total risk weighted assets	10.50%	10.50%	10.50%	10.50%	10.50%		
Trade payable	130,920	92,832	-	-	-	130,920	92,832	-	-	-	(h) Minimum statutory ratio	10.50%	10.50%	10.50%	10.50%	10.50%		(h) Excess / (deficiency) (i-k)	10.50%	10.50%	10.50%	10.50%	10.50%		
Dividends payable	-	-	-	-	-	-	-	-	-	-	(i) Total capital / total risk weighted assets	19.94%	18.62%	17.81%	18.52%	20.06%		(i) Minimum statutory ratio	14.50%	14.50%	14.50%	14.50%	14.50%		
Deferred tax liability	-	-	-	-	-	-	-	-	-	-	(j) Excess / (deficiency) (m-n)	5.74%	4.12%	3.31%	4.02%	5.56%		(j) Minimum statutory ratio	14.50%	14.50%	14.50%	14.50%	14.50%		
Retirement benefit liability	165,733	176,817	169,336	164,371	101,988	165,733	176,817	169,336	164,371	101,988	(k) Adjusted core capital / total deposit liabilities	16.03%	15.32%	15.12%	-	-		(k) Adjusted core capital / total risk weighted assets	17.02%	16.07%	15.48%	-	-		
Other liabilities	5,015,613	9,905,209	4,923,687	5,348,368	6,956,460	5,040,551	9,905,209	4,923,687	5,370,713	6,968,613	(l) Adjusted total capital / total risk weighted assets	20.11%	19.01%	18.34%	-	-		(l) Adjusted total capital / total risk weighted assets	20.11%	19.01%	18.34%	-	-		
TOTAL LIABILITIES	242,306,567	251,802,565	248,278,397	240,540,686	266,141,963	241,613,500	251,802,565	248,278,397	240,540,686	266,141,963	5) LIQUIDITY														
SHAREHOLDERS' FUNDS											(a) Liquidity ratio	20.91%	7.131%	68.83%	58.73%	69.91%		(a) Liquidity ratio	20.91%	7.131%	68.83%	58.73%	69.91%		
Paid up / Assigned capital	1,997,553	1,997,553	1,997,553	1,997,553	1,997,553	1,997,553	1,997,553	1,997,553	1,997,553	1,997,553	(b) Minimum statutory ratio	20.00%	20.00%	20.00%	20.00%	20.00%		(b) Minimum statutory ratio							

**STANDARD CHARTERED BANK KENYA LIMITED
CONSOLIDATED PROFIT AND LOSS STATEMENT
FINANCIAL STATEMENTS AND OTHER DISCLOSURES**

II	PROFIT AND LOSS ACCOUNT	30.09.2017 KShs. 000 Un-audited	31.12.2017 KShs. 000 Audited	31.03.2018 KShs. 000 Un-audited	30.06.2018 KShs. 000 Un-audited	30.09.2018 KShs. 000 Un-audited
1	INTEREST INCOME					
1.1	Loans and advances	10,085,306	13,558,397	3,426,216	6,747,971	9,915,128
1.2	Government securities	8,272,244	11,333,686	3,112,323	6,420,541	9,526,068
1.3	Deposits and placements with banking institutions	395,773	530,499	93,432	223,223	385,948
1.4	Other Interest Income	660,656	851,743	192,941	350,013	514,493
1.5	Total Interest Income	19,413,979	26,274,325	6,824,912	13,741,748	20,341,637
2	INTEREST EXPENSES					
2.1	Customer deposits	4,694,304	6,407,540	1,688,527	3,358,699	4,946,397
2.2	Deposits and placements from banking institutions	156,074	215,877	16,951	31,214	48,428
2.3	Other Interest Expenses	794,780	1,084,935	274,117	508,960	771,475
2.4	Total Interest Expenses	5,645,158	7,708,352	1,979,595	3,898,873	5,766,300
3	NET INTEREST INCOME/(LOSS)	13,768,821	18,565,973	4,845,317	9,842,875	14,575,337
4	NON-INTEREST INCOME					
4.1	Fees and commissions on loans and advances	116,325	153,433	72,183	127,352	193,871
4.2	Other fees and commissions	3,079,269	4,361,261	1,383,199	2,821,839	3,999,459
4.3	Foreign Exchange trading income/ (loss)	1,891,805	2,661,343	595,890	1,391,464	2,097,609
4.4	Dividend Income	-	-	-	-	-
4.5	Other income	1,326,221	1,596,183	212,372	479,960	747,967
4.6	Total Non-Interest Income	6,413,620	8,772,220	2,263,644	4,820,615	7,038,906
5	TOTAL OPERATING INCOME	20,182,441	27,338,193	7,108,961	14,663,490	21,614,243
6	OTHER OPERATING EXPENSES					
6.1	Loan loss provision	3,725,844	4,185,571	1,065,080	1,266,286	1,878,756
6.2	Staff costs	5,092,687	6,724,878	1,611,507	3,326,247	5,077,397
6.3	Directors' emoluments	229,487	307,181	79,707	149,003	222,723
6.4	Rentals charges	396,987	532,822	145,280	272,459	394,651
6.5	Depreciation charge on property and equipment	312,174	419,971	105,925	220,003	327,572
6.6	Amortisation charges	308,210	462,020	107,870	210,885	304,832
6.7	Other operating expenses	3,251,647	4,634,457	1,221,231	2,647,718	4,165,160
6.8	Total Other Operating Expenses	13,317,036	17,266,900	4,336,600	8,092,601	12,371,091
7	Profit/ (loss) before tax and exceptional items	6,865,405	10,071,293	2,772,361	6,570,889	9,243,152
8	Exceptional items	-	-	-	-	-
9	Profit/ (loss) after exceptional items	6,865,405	10,071,293	2,772,361	6,570,889	9,243,152
10	Current tax	(3,839,246)	(4,265,896)	(1,109,060)	(2,098,727)	(3,111,730)
11	Deferred tax	1,683,196	1,108,701	173,699	(5,443)	174,167
12	Profit/ (loss) after tax and exceptional items	4,709,355	6,914,098	1,837,000	4,466,719	6,305,589
13	Minority Interest	-	-	-	-	-
14	Profit/ (loss) after tax, exceptional items and minority interest	4,709,355	6,914,098	1,837,000	4,466,719	6,305,589
15	Other Comprehensive Income					
15.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-
15.2	Fair value changes in available for sale financial assets	550,986	453,593	160,791	371,208	761,899
15.3	Revaluation surplus on Property, plant and equipment	-	488,605	-	-	-
15.4	Share of other comprehensive income of associates	-	-	-	-	-
15.5	Income tax relating to components of other comprehensive income	(165,295)	(291,659)	(48,237)	(111,362)	(228,570)
16	Other Comprehensive Income for the year net of tax	385,691	650,539	112,554	259,846	533,329
17	Total comprehensive income for the year	5,095,046	7,564,637	1,949,554	4,726,565	6,838,918
18	EARNINGS PER SHARE- BASIC & DILUTED	13.47	19.64	5.23	12.76	17.99
19	DIVIDEND PER SHARE -DECLARED	4.50	17.00		5.00	5.00

**STANDARD CHARTERED BANK KENYA LIMITED
COMPANY PROFIT AND LOSS STATEMENT
FINANCIAL STATEMENTS AND OTHER DISCLOSURES**

II	PROFIT AND LOSS ACCOUNT	30.09.2017 KShs. 000 Un-audited	31.12.2017 KShs. 000 Audited	31.03.2018 KShs. 000 Un-audited	30.06.2018 KShs. 000 Un-audited	30.09.2018 KShs. 000 Un-audited
1	INTEREST INCOME					
1.1	Loans and advances	10,085,306	13,558,397	3,426,216	6,747,971	9,915,128
1.2	Government securities	8,237,584	11,281,884	3,092,343	6,386,119	9,465,985
1.3	Deposits and placements with banking institutions	395,773	530,499	93,432	223,223	385,948
1.4	Other Interest Income	660,656	851,743	192,941	350,013	514,493
1.5	Total Interest Income	19,379,319	26,222,523	6,804,932	13,707,326	20,281,554
2	INTEREST EXPENSES					
2.1	Customer deposits	4,716,815	6,436,104	1,694,241	3,370,293	4,963,673
2.2	Deposits and placements from banking institutions	156,074	215,877	16,951	31,214	48,428
2.3	Other Interest Expenses	794,780	1,084,935	274,117	508,960	771,475
2.4	Total Interest Expenses	5,667,669	7,736,916	1,985,309	3,910,467	5,783,576
3	NET INTEREST INCOME/(LOSS)	13,711,650	18,485,607	4,819,623	9,796,859	14,497,978
4	NON-INTEREST INCOME					
4.1	Fees and commissions on loans and advances	116,325	153,433	72,183	127,352	193,871
4.2	Other fees and commissions	2,570,184	3,622,033	1,129,444	2,256,373	3,212,938
4.3	Foreign Exchange trading income/ (loss)	1,891,805	2,661,343	595,890	1,391,464	2,097,609
4.4	Dividend Income	-	-	-	-	-
4.5	Other income	1,326,336	1,596,297	212,432	480,332	748,339
4.6	Total Non-Interest Income	5,904,650	8,033,106	2,009,949	4,255,521	6,252,757
5	TOTAL OPERATING INCOME	19,616,300	26,518,713	6,829,572	14,052,380	20,750,735
6	OTHER OPERATING EXPENSES					
6.1	Loan loss provision	3,725,844	4,185,571	1,065,080	1,266,286	1,878,756
6.2	Staff costs	4,997,278	6,549,961	1,571,738	3,243,926	4,947,024
6.3	Directors emoluments	229,487	307,181	79,707	149,003	222,723
6.4	Rentals charges	395,478	530,721	144,998	271,752	393,700
6.5	Depreciation charge on property and equipment	312,174	419,971	105,925	220,003	327,572
6.6	Amortisation charges	308,210	462,020	107,870	210,885	304,832
6.7	Other operating expenses	3,209,063	4,553,304	1,207,393	2,620,590	4,118,823
6.8	Total Other Operating Expenses	13,177,534	17,008,729	4,282,711	7,982,445	12,193,430
7	Profit/ (loss) before tax and exceptional items	6,438,766	9,509,984	2,546,861	6,069,935	8,557,305
8	Exceptional items	-	-	-	-	-
9	Profit/ (loss) after exceptional items	6,438,766	9,509,984	2,546,861	6,069,935	8,557,305
10	Current tax	(3,710,064)	(4,095,502)	(1,040,932)	(1,947,796)	(2,905,284)
11	Deferred tax	1,683,196	1,108,171	173,699	(4,913)	174,697
12	Profit/ (loss) after tax and exceptional items	4,411,898	6,522,653	1,679,628	4,117,226	5,826,718
13	Minority Interest	-	-	-	-	-
14	Profit/ (loss) after tax, exceptional items and minority interest	4,411,898	6,522,653	1,679,628	4,117,226	5,826,718
15	Other Comprehensive Income					
15.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-
15.2	Fair value changes in available for sale financial assets	562,332	467,606	111,723	379,392	774,167
15.3	Revaluation surplus on Property, plant and equipment	-	488,605	-	-	-
15.4	Share of other comprehensive income of associates	-	-	-	-	-
15.5	Income tax relating to components of other comprehensive income	(168,699)	(295,863)	(33,517)	(113,817)	(232,250)
16	Other Comprehensive Income for the year net of tax	393,633	660,348	78,206	265,575	541,917
17	Total comprehensive income for the year	4,805,531	7,183,001	1,757,834	4,382,801	6,368,635
18	EARNINGS PER SHARE- BASIC & DILUTED	12.60	18.50	4.77	11.74	16.60
19	DIVIDEND PER SHARE -DECLARED	4.50	17.00	-	5.00	5.00

NAME OF INSTITUTION: STANDARD CHARTERED BANK KENYA LIMITED

CONSOLIDATED FINANCIAL STATEMENTS AND DISCLOSURES

I BALANCE SHEET	30.09.2017	31.12.2017	31.03.2018	30.06.18	30.09.2018
	KShs. '000'	KShs. '000'	KShs. '000'	KShs. '000'	KShs. '000'
A. ASSETS	Un-audited	Audited	Un-audited	Un-audited	Un-audited
1. Cash (both local and foreign)	2,937,093	3,723,226	4,287,831	5,768,666	2,597,831
2. Balances due from Central Bank of Kenya	12,927,047	9,618,366	12,671,049	13,306,767	12,593,534
3. Kenya Government and other securities held for dealing purposes	11,279,780	7,046,674	8,566,271	4,798,930	8,381,827
4. Financial Assets at fair value through profit and loss	637,685	597,360	734,197	989,781	633,847
5. Investment Securities:					
a) Held to Maturity:					
i. Kenya Government securities	-	-	-	-	-
ii. Other securities	-	-	-	-	-
b) Available for sale:					
i. Kenya Government securities	113,546,868	103,486,084	112,074,426	116,136,514	107,130,848
ii. Other securities	530,012	8,999	9,037	8,530	18,850
6. Deposits and balances due from local banking institutions	2,116,860	5,230,390	4,253,789	7,539,054	6,707,417
7. Deposits and balances due from banking institutions abroad	101,489	95,474	64,604	60,220	97,929
8. Tax recoverable	751,301	1,389,789	367,748	13,251	23,491
9. Loans and advances to customers (net)	114,241,248	126,294,470	113,847,613	111,748,653	111,004,251
10. Balances due from banking institutions in the group	41,209,341	16,121,687	26,552,898	26,234,242	30,498,040
11. Investments in associates	-	-	-	-	-
12. Investments in subsidiary companies	-	-	-	-	-
13. Investments in joint ventures	-	-	-	-	-
14. Investment properties	-	-	-	-	-
15. Property and equipment	2,968,476	3,351,240	3,269,642	3,192,926	3,121,170
16. Prepaid lease rentals	241,289	240,557	239,825	239,094	238,362
17. Intangible assets	2,177,493	2,220,661	2,113,523	2,013,159	1,928,798
18. Deferred tax asset	1,581,606	880,747	1,598,841	1,356,574	1,418,976
19. Retirement benefit asset	-	-	-	-	-
20. Other assets	3,257,257	5,418,717	3,343,534	2,548,885	2,179,199
21. TOTAL ASSETS	310,504,845	285,724,441	293,994,828	295,955,246	288,574,370
B. LIABILITIES					
22. Balances due to Central Bank of Kenya	6,740,309	-	-	-	3,900,000
23. Customer deposits	238,496,384	213,349,290	231,986,234	230,845,308	219,463,094
24. Deposits and balances due to local banking institutions	1,111,182	11,139,733	463,714	1,033,401	3,565,839
25. Deposits and balances due to foreign banking institutions	2,581,582	1,561,623	1,267,568	164,306	490,477
26. Other money market deposits	-	-	-	-	-
27. Borrowed funds	-	-	-	-	-
28. Balances due to banking institutions in the group	9,706,637	8,448,453	8,831,642	9,109,542	8,976,988
29. Tax payable	-	25,721	61,837	142,410	193,512
30. Dividends payable	-	-	-	-	-
31. Deferred tax liability	-	-	-	-	-
32. Retirement benefit liability	101,988	164,371	169,336	176,817	183,039
33. Other liabilities	6,968,613	5,370,713	4,952,762	9,841,948	5,040,551
34. TOTAL LIABILITIES	265,706,695	240,059,904	247,733,093	251,313,732	241,813,500
C. SHAREHOLDERS' FUNDS					
35. Paid up/Assigned Capital	1,997,553	1,997,553	1,997,553	1,997,553	1,997,553
36. Share premium/ (discount)	7,792,427	7,792,427	7,792,427	7,792,427	7,792,427
37. Revaluation reserves	420,717	751,347	748,953	746,559	744,165
38. Retained earnings/ Accumulated losses	30,435,764	28,003,352	28,285,546	29,113,477	30,954,747
39. Statutory loan loss reserves	-	216,289	-	-	-
40. Other Reserves (Available for sale)	659,623	636,134	1,174,201	1,289,982	1,563,465
41. Proposed dividends	1,629,107	4,378,573	4,378,573	1,800,862	1,800,862
42. Capital grants	1,862,959	1,888,862	1,884,482	1,900,654	1,907,651
43. TOTAL SHAREHOLDERS' EQUITY	44,798,150	45,664,537	46,261,735	44,641,514	46,760,870
44. Minority Interest	-	-	-	-	-
45. TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	310,504,845	285,724,441	293,994,828	295,955,246	288,574,370

NAME OF INSTITUTION: STANDARD CHARTERED BANK KENYA LIMITED

COMPANY FINANCIAL STATEMENTS AND DISCLOSURES

I BALANCE SHEET	30.09.2017 KShs. '000' Un-audited	31.12.2017 KShs. '000' Audited	31.03.2018 KShs. '000' Un-audited	30.06.18 KShs. '000' Un-audited	31.09.2018 KShs. '000' Un-audited
A. ASSETS					
1. Cash (both local and foreign)	2,937,093	3,723,226	4,287,831	5,768,666	2,597,831
2. Balances due from Central Bank of Kenya	12,927,047	9,618,366	12,671,049	13,306,767	12,593,534
3. Kenya Government and other securities held for dealing purposes	11,279,780	7,046,674	8,566,271	4,798,930	8,381,827
4. Financial Assets at fair value through profit and loss	637,685	597,360	734,197	989,781	633,847
5. Investment Securities:					
a) Held to Maturity:					
i. Kenya Government securities	-	-	-	-	-
ii. Other securities	-	-	-	-	-
b) Available for sale:					
i. Kenya Government securities	112,897,319	102,837,472	111,281,205	115,103,062	106,094,864
ii. Other securities	530,012	8,999	9,037	8,530	18,850
6. Deposits and balances due from local banking institutions	2,116,860	5,230,390	4,253,789	7,539,054	6,707,417
7. Deposits and balances due from banking institutions abroad	101,489	95,474	64,604	60,220	97,929
8. Tax recoverable	735,317	1,350,060	355,762	-	-
9. Loans and advances to customers (net)	114,241,248	126,294,470	113,847,613	111,748,653	111,004,251
10. Balances due from banking institutions in the group	41,211,835	16,090,088	26,585,962	26,265,433	30,498,858
11. Investments in associates	-	-	-	-	-
12. Investments in subsidiary companies	141,243	141,243	141,243	141,243	141,243
13. Investments in joint ventures	-	-	-	-	-
14. Investment properties	-	-	-	-	-
15. Property and equipment	2,968,476	3,351,240	3,269,642	3,192,926	3,121,170
16. Prepaid lease rentals	241,289	240,557	239,825	239,094	238,362
17. Intangible assets	2,177,493	2,220,661	2,113,523	2,013,159	1,928,798
18. Deferred tax asset	1,577,846	875,656	1,591,780	1,349,558	1,410,735
19. Retirement benefit asset	-	-	-	-	-
20. Other assets	3,229,537	5,402,602	3,293,338	2,524,554	2,136,648
21. TOTAL ASSETS	309,951,569	285,124,538	293,306,671	295,049,630	287,606,164
B. LIABILITIES					
22. Balances due to Central Bank of Kenya	6,740,309	-	-	-	3,900,000
23. Customer deposits	238,496,384	213,349,290	231,986,234	230,845,308	219,463,094
24. Deposits and balances due to local banking institutions	1,111,182	11,139,733	463,714	1,033,401	3,565,839
25. Deposits and balances due to foreign banking institutions	2,581,582	1,561,623	1,267,568	164,306	490,477
26. Other money market deposits	-	-	-	-	-
27. Borrowed funds	-	-	-	-	-
28. Balances due to banking institutions in the group	10,154,078	8,977,301	9,467,858	9,713,692	9,646,881
29. Tax payable	-	-	-	92,832	130,983
30. Dividends payable	-	-	-	-	-
31. Deferred tax liability	-	-	-	-	-
32. Retirement benefit liability	101,988	164,371	169,336	176,817	183,039
33. Other liabilities	6,956,460	5,348,368	4,923,687	9,806,209	5,015,954
34. TOTAL LIABILITIES	266,141,983	240,540,686	248,278,397	251,832,565	242,396,267
C. SHAREHOLDERS FUNDS					
35. Paid up/Assigned Capital	1,997,553	1,997,553	1,997,553	1,997,553	1,997,553
36. Share premium/ (discount)	7,792,427	7,792,427	7,792,427	7,792,427	7,792,427
37. Revaluation reserves	420,717	751,347	748,953	746,559	744,165
38. Retained earnings/ Accumulated losses	29,438,426	26,912,026	27,036,848	27,672,658	29,384,545
39. Statutory loan loss reserves	-	216,289	-	-	-
40. Other Reserves (Available for sale)	668,397	646,775	1,189,438	1,306,352	1,582,694
41. Proposed dividends	1,629,107	4,378,573	4,378,573	1,800,862	1,800,862
42. Capital grants	1,862,959	1,888,862	1,884,482	1,900,654	1,907,651
43. TOTAL SHAREHOLDERS EQUITY	43,809,586	44,583,852	45,028,274	43,217,065	45,209,897
44. Minority Interest	-	-	-	-	-
45. TOTAL LIABILITIES AND SHAREHOLDERS EQUITY	309,951,569	285,124,538	293,306,671	295,049,630	287,606,164

STANDARD CHARTERED BANK KENYA LIMITED
FINANCIAL STATEMENTS AND OTHER DISCLOSURES

III. OTHER DISCLOSURES	30.09.2017 KShs. '000' Un-audited	31.12.2017 KShs. '000' Audited	31.03.2018 KShs. '000' Un-audited	30.06.18 KShs. '000' Un-audited	30.09.2018 KShs. '000' Un-audited
1) NON-PERFORMING LOANS AND ADVANCES					
a) Gross non-performing loans and advances	16,984,463	17,620,531	17,793,483	18,547,487	19,521,940
Less					
b) Interest in suspense	5,848,747	6,302,823	6,431,622	6,820,457	7,337,374
c) Net Non-Performing Loans and Advances (a-b)	11,135,716	11,317,708	11,361,861	11,727,030	12,184,566
Less					
d) Loan loss Provisions	6,764,438	6,808,880	6,945,964	7,088,093	7,153,032
e) Net Non-Performing Loans (c-d)	4,371,278	4,508,828	4,415,897	4,638,937	5,031,534
f) Realizable Value of Securities	4,128,390	4,116,747	4,169,294	4,590,474	4,377,735
g) Net NPLs Exposure (e-f)	242,888	392,081	246,603	48,463	653,799
2) INSIDER LOANS AND ADVANCES					
a) Directors, shareholders and associates	45,653	50,203	52,427	48,276	46,463
b) Employees	6,202,125	6,329,178	6,076,512	6,198,871	6,438,361
c) Total Insider Loans, Advances and Other Facilities	6,247,778	6,379,381	6,128,939	6,247,147	6,484,824
3) OFF-BALANCE SHEET ITEMS					
a) Letters of credit, guarantees, acceptances	41,111,553	41,117,237	43,822,152	45,107,608	44,886,653
b) Forwards, swaps, and options	102,620,420	88,018,730	125,850,794	141,379,387	79,539,468
c) Other contingent Liabilities	-	-	-	-	-
d) Total Contingent Liabilities	143,731,973	129,135,967	169,672,946	186,486,995	124,426,121
4) CAPITAL STRENGTH					
a) Core Capital	35,980,777	35,628,197	34,099,922	34,731,286	35,913,814
b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
c) Excess/ (Deficiency)	34,980,777	34,628,197	33,099,922	33,731,286	34,913,814
d) Supplementary Capital	6,313,413	6,614,023	6,262,260	6,255,836	6,256,642
e) Total capital (a+d)	42,294,190	42,242,220	40,362,182	40,987,122	42,170,456
f) Total risk weighted assets	210,855,918	228,112,212	226,678,875	220,137,355	212,601,580
g) Core capital/total deposit liabilities	15.09%	16.70%	14.70%	15.05%	16.36%
h) Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%	8.00%
i) Excess/ (Deficiency) (g-h)	7.09%	8.70%	6.70%	7.05%	8.36%
j) Core capital/total risk weighted assets	17.06%	15.62%	15.04%	15.78%	16.89%
k) Minimum Statutory Ratio	10.50%	10.50%	10.50%	10.50%	10.50%
l) Excess/ (Deficiency) (j-k)	6.56%	5.12%	4.54%	5.28%	6.39%
m) Total capital/total risk weighted assets	20.06%	18.52%	17.81%	18.62%	19.84%
n) Minimum Statutory Ratio	14.50%	14.50%	14.50%	14.50%	14.50%
o) Excess/ (Deficiency) (m-n)	5.56%	4.02%	3.31%	4.12%	5.34%
(p) Adjusted Core Capital/Total Deposit Liabilities*			15.12%	15.32%	16.53%
(q) Adjusted Core Capital/Total Risk Weighted Assets*			15.48%	16.07%	17.07%
(r) Adjusted Total Capital/Total Risk Weighted Assets*			18.34%	19.01%	20.11%
5) LIQUIDITY					
a) Liquidity Ratio	69.91%	58.73%	68.83%	71.31%	69.94%
b) Minimum Statutory Ratio	20.00%	20.00%	20.00%	20.00%	20.00%
c) Excess/ (Deficiency) (a-b)	49.91%	38.73%	48.83%	51.31%	49.94%